# BERN Economic Realism: Why What Spending Builds Matters for Inflation

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## Abstract

Spending creates demand now; what it builds may expand supply later. That timing helps explain why two equally costly interventions can have different effects on output and prices. Bernstein Economic Realism Nuance (BERN) makes this comparison central to monetary and fiscal analysis: what did the spending produce, when did the benefits arrive, and what resources did it displace? The paper connects that question to four monetary approaches and proposes reports of realized benefits, costs, uncertainty and plausible alternatives. National accounts already distinguish consumption from investment; classifying an outlay as investment does not establish its return. A productive project can raise prices during construction before relieving a supply constraint. The proposed empirical comparison asks whether measured capacity gains and their timing help explain price responses alongside financing and other conditions. BERN supplies a mechanism to investigate and a reporting method, without claiming a measured effect size or a universal inflation threshold.

## 1. What did the spending achieve?

New spending has different effects when factories stand idle and when the needed supplies are already fully used. Its consequences also depend on what it buys and how it is financed. This paper asks whether measuring the resulting output and capacity can make disagreements between monetary theories more precise.

The quantity theory states that, with velocity and output constant, an increase in the money stock raises the price level. Its critics observe correctly that velocity and output are not constant. A causal explanation must therefore account for changes in velocity and output as well as the money stock.

The Austrian account holds that credit expansion unmatched by real saving distorts the structure of production, generating investment that cannot be completed at the prices that induced it. This is a claim about allocation rather than about the price level, and it can be true in periods when measured inflation is low.

A Keynesian multiplier describes the output response to additional spending. Idle capacity can support an increase greater than the initial outlay, but does not guarantee it: the response also depends on imports, household behavior, monetary policy and other conditions.

The Modern Monetary Theory solvency claim holds that a government issuing

debt denominated in a currency it creates cannot be forced into nominal default. This identifies nominal financing capacity, subject to the monetary and legal arrangements; it does not guarantee purchasing power, available resources or freedom from a politically induced default.

What follows is a proposal for identifying which regime obtains, stated in terms that all four frameworks already contain.

## 2. The BERN criterion

The proposal, designated Bernstein Economic Realism Nuance (BERN), asks what the spending produces. The useful comparison includes the resulting goods, services and productive capacity, their timing and cost, and what would have happened without the expenditure.

The identity MV = PQ relates a chosen money aggregate M, its velocity V, a price index P and real output Q. It is an accounting relation under consistent definitions. It does not determine which variable changes after a policy intervention. BERN's causal proposal concerns that response: expenditure that removes a supply constraint can affect subsequent output and prices differently from expenditure that adds demand while the relevant supply remains fixed.

This distinguishes three questions. Does the spending increase demand immediately? Does it add useful capacity, and when? How are financing, money demand and expectations changing at the same time? Productive investment can put pressure on scarce resources before its output arrives. A positive long-run return therefore need not prevent a near-term price rise.

Scarce assets pose a related allocation question. Credit conditions and demand can raise their prices without a proportionate rise in a consumer price index. But fixed supply alone does not guarantee appreciation: demand, interest rates and risk can change. BERN should explain the conditions under which its proposed effects occur rather than label every asset increase inevitable dilution.

## 3. What the historical inflation cases establish

The historical record is frequently invoked in this debate and frequently overstated in both directions.

What it supports is that hyperinflation is associated with a recognisable syndrome: very large fiscal deficits, heavy reliance on money creation to finance the state, exchange-rate collapse or severe external constraint, a sharp fall in money demand and confidence, and political or wartime disruption impairing production and tax collection. Weimar Germany, post-war Hungary, Yugoslavia, Zimbabwe and Venezuela all display combinations of these.

The cases cited here do not establish a universal money-growth threshold, a single inflation lag, or a causal estimate of how expenditure composition affects

timing and severity. Those claims require defined measures and a systematic comparison beyond the historical examples.

The correct reading is therefore narrower than the monetarist summary and broader than its critics allow. Hyperinflation is a breakdown of the fiscal-monetary order rather than a debt-ratio phenomenon. Money creation is not secondary in the terminal phase, and it is also not sufficient in isolation from fiscal and institutional collapse.

A country with high debt and low inflation would refute a rule based on the debt ratio alone. It would not by itself isolate the cause of price stability. Monetary institutions, demand for the currency and debt, productive capacity and external conditions must enter the comparison. The historical examples motivate the proposed measurement; they are not a completed test of BERN.

## 4. Consumer prices and living standards

A price index and an assessment of living standards answer different questions. To evaluate a household's situation, one may need its income, the prices it faces, the quality and quantity of what it consumes, and whether desired alternatives remain affordable.

Substitution adjustments do not mean that official statistics simply replace every expensive product with a worse one and report no loss. The US Bureau of Labor Statistics explains how substitution and quality changes enter the CPI (BLS, n.d.). Different index formulas have different purposes. The BERN proposal is to report the relevant consumption and distributional outcomes alongside the aggregate price measure, rather than assume one number answers every welfare question.

## 5. The missing return: what did public spending buy?

Two bridges can cost the same yet provide very different benefits. One may remove a freight bottleneck for decades; another may add little to transport already available. An expenditure total records the outlay. To judge the result, we also need the service gained, its costs and what would likely have happened without it.

National accounts already distinguish government consumption from investment (BEA, n.d.). BERN adds a proposed outcome report; it does not rename all existing expenditure as undifferentiated consumption. Each report should state:

1. The project's intended service or capacity, total resource cost and financing.
2. The comparison with a plausible alternative, including no project where appropriate.
3. Expected and realized benefits and costs over stated periods, including relevant nonmarket effects.

4. The discount rate, uncertainty, maintenance costs and distribution of gains and losses.
5. Which supply constraint the project changes and when that change becomes available.

A return estimate should be a range with its assumptions, not a binary label hiding a fragile forecast. A project can have valuable public benefits without earning market revenue. Conversely, a large financial turnover need not demonstrate an equivalent social gain. Existing cost-benefit methods supply a starting point; the proposal is to connect their realized outcomes more consistently to the monetary and resource comparison.

## 6. The comparison with monetary theories

Modern Monetary Theory identifies real resources and inflation as constraints on a currency issuer; nominal financing capacity does not remove them (Wray, 2012; Kelton, 2020). BERN directs the allocation question at that constraint: which expenditure adds useful capacity, on what timescale, and with what competing demand for resources?

This is also a question for quantity-theory, Austrian and Keynesian accounts. Their answers differ on transmission, expectations, slack and misallocation. The return measure does not reconcile those disagreements by definition. It supplies outcomes against which their explanations can be compared.

The proposal should therefore engage existing public-investment appraisal and fiscal research rather than claim that no economist has considered productive spending. Its contribution must lie in the specified reporting and causal comparison, demonstrated on actual cases.

## 7. A test of the proposed mechanism

A first empirical study would define expenditure categories before inspecting inflation outcomes, document project timing and estimate realized capacity changes. It would distinguish the financing measure from the spending measure, and track output, prices and money demand over the same periods. Projects undertaken during a crisis cannot be compared naively with projects undertaken in stable conditions.

The hypothesis is that expenditure composition and the timing of new capacity help explain differences in price responses after controlling for the other stated conditions. It fails as an explanation where those measured mechanisms do not account for the outcomes, or where its apparent effect disappears under credible alternatives. A project report provides inputs for that test; it does not itself identify causation.

No cross-country regression, universal inflation lag, or numerical effect size is established here. The historical catalogue supplies cases, while the proposed

reporting defines data needed for a more discriminating comparison. Related empirical literature must be reviewed before claiming that the comparison is novel.

## 8. Conclusion

Spending creates demand now and can add supply later. The amount spent is only the start of an economic explanation. What it purchases, when useful capacity arrives and which resources it displaces help determine the result. BERN makes those questions central to the comparison of monetary theories.

The reporting proposal records outcomes alongside costs and financing. It gives the return criterion a practical form without treating it as a complete inflation model. Its value must be shown through measured cases, credible comparisons and a clearer account of when additional spending raises output, prices or both.

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